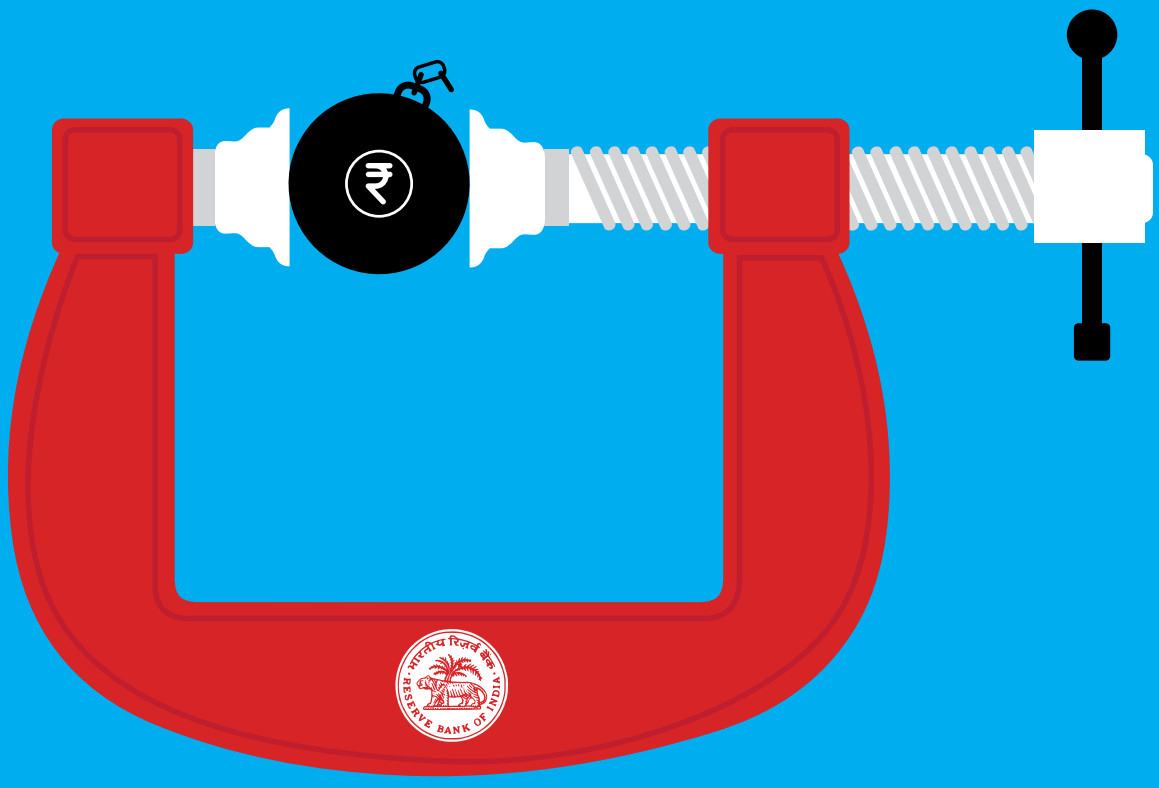


Illustration by **RAJ VERMA**

RETAIL LOANS

LENDING SOBRIETY

By M.G. Arun

The Reserve Bank of India (RBI) has deemed it fit to tighten the screws on a certain sense of festival abandon that had gripped retail loans. Recognising the dangers that an unbridled rise in unsecured loans can cause to the banking system, the central bank has come up with norms that will ultimately make it costlier for banks to offer such loans. Unsecured loans are given out by banks without insisting on an underlying collateral or security, relying only on their judgement of a borrower's creditworthiness. In its latest move, the RBI has increased the 'risk weights' on consumer loans for banks, non-banking finance companies (NBFCs) and credit card providers, making it more expensive for lenders across the spectrum to offer loans in these segments. Risk weights refer to the capital that banks keep aside as provisioning to cover any loan defaults.

The RBI has increased the risk weights for consumer credit exposure of commercial banks and NBFCs, including personal loans, by 25 percentage points to 125 per cent. That should act as a disincentive for lending institutions when it comes to offering unsecured loans, which had been seeing a sharp rise before and well into the festival season. The central bank has also raised the risk weights on credit card receivables by 25 percentage points to 150 per cent and